SOLVENCY CHECK

Before moving on to the lazy financial canvas, we need to quickly evaluate our financial position and analyze if we will be facing any risk of insolvency. This will not be the case for more than 95% of Zebra-learners but the rest must seek expert counsel right away, if they are facing any risk of insolvency. We will check two basic ratios for this.

LIABILITIES TO NET WORTH RATIO

Here, we divide the liabilities from our balance sheet by our net worth (assets – liabilities). This ratio explains which part of our assets is owned & which part is borrowed. For instance, if we have liabilities worth Rs. 5 lac, assets worth Rs. 25 lac and net worth equivalent to Rs. 20 lac, the liabilities to net worth ratio is 5 lac / 20 lac = 0.25. If this number is above 2, that means our balance sheet is not healthy and if it is more than 3, we should stop reading this immediately and visit an expert to help us get our finances in order.

$$\text{LIABILITY TO NET WORTH RATIO} = \frac{\text{TOTAL LIABILITIES}}{\text{NET WORTH}}$$

PERSONAL BALANCE SHEET